Instacart

CART | Nasdaq Global Select Market | 2026-10-07

Q4 2027 model ceiling: USD 86.74

Analytical Base 39/60 = 65 | Watchlist / Grocery commerce beneficiary

20x forward-four-quarter GAAP operating profit / modeled diluted shares. Quarter plus next three, no cash/debt or preferred adjustment. SBC and D&A retained.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 45.47 on 2026-10-06 16:00 America/New_York. Model diluted shares at Q3 2026: 244.007m. Indicative diluted capitalization: USD 11,095.0m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,073.4	20x	247.507	86.74

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Instacart's opportunity is to make its grocery infrastructure useful wherever shopping begins. A conversational assistant still needs a local catalog, current availability, retailer authorization, payment, substitutions and someone to deliver the basket. Instacart already connects those functions. Its advantage comes from an operating network and retailer integrations accumulated over years; it does not own an irreplaceable physical bottleneck, and it does not capture the entire value of the groceries passing through that network.

The active Q4 2027 ceiling is **$86.74**, using **20x forward-four-quarter GAAP operating profit** and **247.51 million modeled diluted shares**. The corresponding profit window is Q4 2027 through Q3 2028, producing $1.073 billion of operating profit. The analytical Base is **65/100, Watchlist**. The valuation depends primarily on continued growth and operating leverage in the existing business. The combined AI-channel and Dollar General branches account for only about $0.76 of this ceiling; an announcement alone does not justify assigning the company a radically different earnings stream.

What the company actually sells

Maplebear, which operates as Instacart and trades as CART on Nasdaq, reports two revenue categories inside one business segment. Transaction revenue includes customer and retailer fees, membership-related revenue and certain payment relationships. It is reported net of important costs such as shopper payments, customer incentives and refunds. Advertising and other revenue includes both advertising and enterprise offerings. It is not a pure advertising segment, and management does not publish separate enterprise or marketplace profit statements. [S2, S6]

That accounting matters. An analyst cannot take a roughly 7.2% transaction yield, subtract the full shopper compensation pool again, then call the result a more conservative margin. The shopper economics are already embedded in the reported net revenue. Conversely, advertising is not costless: publisher payments and the growing mix of off-platform partnerships can increase cost of revenue. Enterprise revenue cannot be added again on top of the two reported categories simply because a new retailer adopts Storefront Pro or Carrot Ads.

Q2 2026 illustrates the economics. GTV was $10.351 billion across 90.3 million orders, or approximately $114.63 per order. Transaction revenue was $746 million and advertising and other revenue $297 million. Gross profit reached $751 million, while GAAP operating profit was $143 million after research, sales, support and administrative expenses. The much larger $313 million adjusted EBITDA figure excludes substantial stock compensation and other costs. This model values the GAAP operating profit. [S1-S3]

Why the infrastructure is difficult to reproduce

A grocery basket is harder to fulfill reliably than a static product listing suggests. Store-level availability changes rapidly. Shoppers care about the ripeness of produce, replacement choices, dietary restrictions and delivery windows. Different stores carry different products, and retailer inventory feeds can be stale. The relevant asset is the combination of transaction history, repeated physical observation of shelves, retailer systems and a delivery network.

Instacart reports more than 1.6 billion lifetime orders, over 2 billion product instances and about 10 million daily inventory observations. The product-instance number includes location-specific listings; it should not be described as 2 billion unique products. Its Q2 supplement reports 16 quarters of improvement in perfect-order fill. The accompanying trend chart is explicitly schematic, and the separate 15-percentage-point improvement refers to Q1 2022 through Q1 2025, according to its footnote. These are issuer claims about operating quality, not an independently audited moat score. [S3]

Arpalus adds computer-vision tools for turning shelf scans into usable inventory information. Instacart says its technology identifies individual items with more than 95% average accuracy. Better inventory can lower failed substitutions, improve repeat use and support retailer analytics. The acquisition does not create a disclosed revenue entitlement per store. Its benefit is included within the operating-quality and growth assumptions, with no separate software TAM added to the financial model. [S3, S5]

Retailers also receive Storefront Pro, Carrot Ads, FoodStorm, Caper and other tools. Management argues that this creates a feedback loop: the marketplace funds technology used by enterprise customers; enterprise relationships improve retailer access, order density and ad inventory. Both the Q1 and Q2 calls describe the businesses as complementary and managed together. That supports a durable distribution thesis, while limiting our ability to assign independent profit pools to each product. [S4, S5]

AI adoption is real; the commercial split remains uncertain

The sequence matters. In May, management described an assistant pilot reaching approximately one-quarter of US customers. In August, it reported larger baskets on assistant orders and planned a broader rollout, while explicitly saying third-party AI integrations were still too early to have a material near-term financial effect. On September 9, Clementine became available across North America. The September 22 Muse announcement describes an upcoming connector, not a disclosed order commitment. Existing connectors include ChatGPT, Claude, Gemini and Google's AI Mode. [S4, S5, S8, S9]

Clementine, white-label Cart Assistant and external connectors occupy different positions in the customer journey. An order originating inside Instacart can retain more of the customer relationship and advertising surface. An order initiated elsewhere may bring a new shopper but can also introduce referral costs, reduced ad exposure or dependence on another company's ranking system. No disclosed contract tells us that all Muse orders are incremental, that Instacart has exclusivity or that referral fees are zero.

The active model therefore assigns a **55% probability** to a bounded combined-agent branch. For 2027, the conditional case routes 2.5% of reference GTV through the relevant channels versus 0.75% already embedded in ordinary growth. Of the difference, 35% is treated as genuinely new demand, and a further 25% overlap adjustment removes revenue already supported by the general adoption assumptions. Existing orders redirected to a new interface do not become a second order.

The cost bridge includes a 30-basis-point referral-cost proxy on incremental routed GTV, 10 basis points of cloud cost, and marketing/support equal to 5% of incremental transaction revenue. Agent orders retain 70% of ordinary advertising monetization in the central case. Lost advertising on migrated orders is deducted. All of these commercial inputs are labeled assumptions, not contract terms. In the active F4Q window, the branch produces $11.51 million of conditional operating profit, weighted to $6.33 million. Under a less favorable combination of only 20% truly new orders, 20% ad retention and a 1.5% referral cost, the same mechanism instead reduces weighted profit by $10.89 million. The direction of the effect can reverse.

A concrete distribution expansion: Dollar General

The September 23 agreement plans a pilot at approximately 7,000 Dollar General and pOpshelf stores across six states, followed by approximately 20,000 stores in 48 states during the fall. These are rollout plans, not evidence that every store has activated or generates a mature number of orders. [S10]

The separate branch assigns 65% probability to an assumed 2027 state in which 30% of 20,000 eligible stores generate two orders per day at a $40 basket. A 50% overlap haircut accounts for substitution from other Instacart stores and the retailer-expansion growth already in the reference. The resulting conditional incremental GTV is $87.6 million for 2027. Transaction revenue uses the model's net yield; ad revenue is only 0.8% of that GTV, and

the transaction gross margin is five percentage points below the platform assumption to reflect small-basket and rollout risk. Marketing and operating support absorb another 20% of incremental revenue. Weighted annual operating profit is only about $2.0 million.

Gopuff and Airbnb provide further evidence that the network can be embedded in other services. Gopuff will use the marketplace and Carrot Ads while fulfilling its own orders. Airbnb's grocery integration expands beyond its original four-city pilot. Their broad distribution effects support the reference growth path; separate full-sized revenue increments would repeat the same partnership and order-generation mechanism. [S11, S12]

Financial construction and the difference between guidance and assumptions

Q3 company guidance is $10.30-10.55 billion of GTV and $320-340 million of adjusted EBITDA. The call also specifies 15-18% advertising and other revenue growth. The reference uses the midpoints: $10.425 billion GTV, 16.5% ad growth and $330 million adjusted EBITDA. Its $173 million GAAP operating profit is an analytical bridge, deducting assumed $114 million SBC, $34 million depreciation/amortization, $6 million SBC payroll tax and $3 million acquisition adjustments. It is not management's GAAP guidance. [S1, S5]

From there, reference GTV growth slows to about 11-12% in 2027, 10% in 2028, 9% in 2029 and 8% in 2030. AOV grows 2%, 1.5%, 1% and 1%, respectively, with the balance supplied by orders. Higher AOV includes basket and customer mix, especially club-store use; it is not an assumption that all customers simply pay higher fees. Transaction yield gradually declines from 7.18% to 7.08%, while advertising and other revenue grows faster than GTV. The latter includes international enterprise and retail-media opportunities, without counting them twice.

The two category gross margins are analytical allocations calibrated to the consolidated result, because the company does not disclose them. Transaction gross margin rises gradually with fulfillment and processing efficiency; the advertising/other allocation declines as lower-margin partner inventory expands. GAAP operating expenses include SBC throughout. Expensed SBC rises from about $538 million in 2027 to $608 million in 2030 even as its revenue percentage falls. This avoids treating dilution-funded labor as free. The annual model reaches revenue of $4.813 billion and operating profit of $907 million in 2027, then $6.439 billion and $1.605 billion in 2030. Those outcomes require execution and operating leverage; they are not company targets.

Treasury, dilution and a completed corporate action

June unrestricted cash and securities totaled $885 million: $757 million cash, $93 million short-term securities and $35 million long-term securities. Another $117 million was restricted. The unused $500 million revolver is liquidity capacity, not cash. Q2 free cash flow of $480 million benefited from receivable collection, so multiplying it by four would overstate recurring cash generation. [S2, S5]

The starting common-share observation is 231.500067 million at July 31. On September 21 all 5.833333 million Series A preferred shares converted one-for-one into common, leaving no preferred shares outstanding. The known pro forma common count is therefore 237.333400 million before unreported subsequent awards and buybacks. The Q2 diluted-share calculation already included preferred on an if-converted basis; adding the old full dilution adjustment to the new common count would count the conversion twice. Only the 8.174 million option/RSU treasury-method increment is retained as a forward proxy. No preferred liquidation claim or accretion is deducted after conversion. [S2, S7]

The buyback path uses $810 million after July at an assumed $45 execution price, plus a $150 million budget reserve for unreported July activity. Together these remain inside the $998 million June authorization. July repurchases are not deducted from shares a second time. Net award issuance is modeled at 2.5 million for the remaining Q3 period and 3.5 million each later quarter. Once that finite authorization is used, dilution resumes;

future board authorizations are not treated as assured. The Q4 2027 denominator is consequently 247.51 million, rising to 289.51 million by Q4 2030. A renewed buyback authorization or different award policy would change this path.

What would weaken or strengthen the thesis

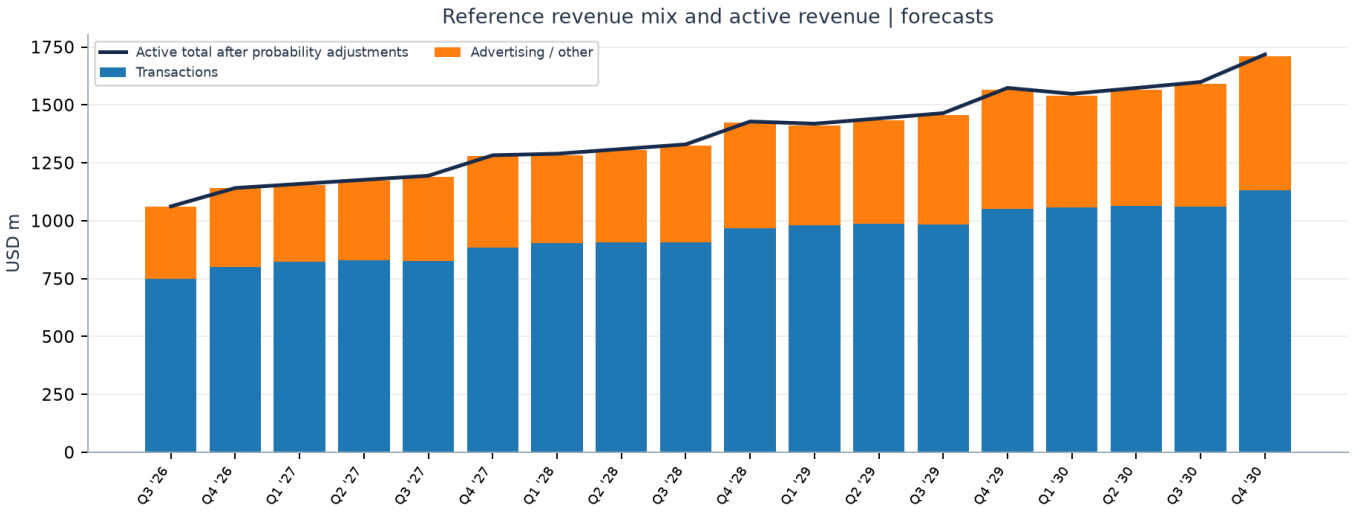
The top three retailers generated approximately 43% of 2025 GTV. Losing a major retailer would damage both demand and the attractiveness of the marketplace. Grocery chains can build their own systems or use competing delivery and advertising platforms. Amazon, Walmart, DoorDash, Uber and retailer-owned technology all compete for parts of the economics. Instacart may be a useful neutral technology partner, but neutrality is not exclusivity. Advertising commitments are generally short, and gig-worker compensation rules can raise costs that are difficult to pass through. [S6]

The next useful evidence is completed retailer activation, repeat-order growth, transaction yield after fulfillment incentives, advertising performance on agent surfaces, and the Q3 reconciliation from adjusted EBITDA to GAAP profit. Growing routed volume accompanied by worsening ad monetization or increasing incentives would invalidate the optimistic interpretation. Better conversion with controlled referral costs would support raising the bounded AI contribution. Sustained cost leverage without cutting product quality would validate the much larger reference profit expansion. Those are the tests behind the Watchlist score; the existence of an AI connector alone is insufficient.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	See the scoring evidence and distinct risk classes in the analysis.
Cycle	6	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	7	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-4	See the scoring evidence and distinct risk classes in the analysis.
Total	39/60	Rounded Base 65. Both artifact and new workbook row use this score; this is not a manual override.

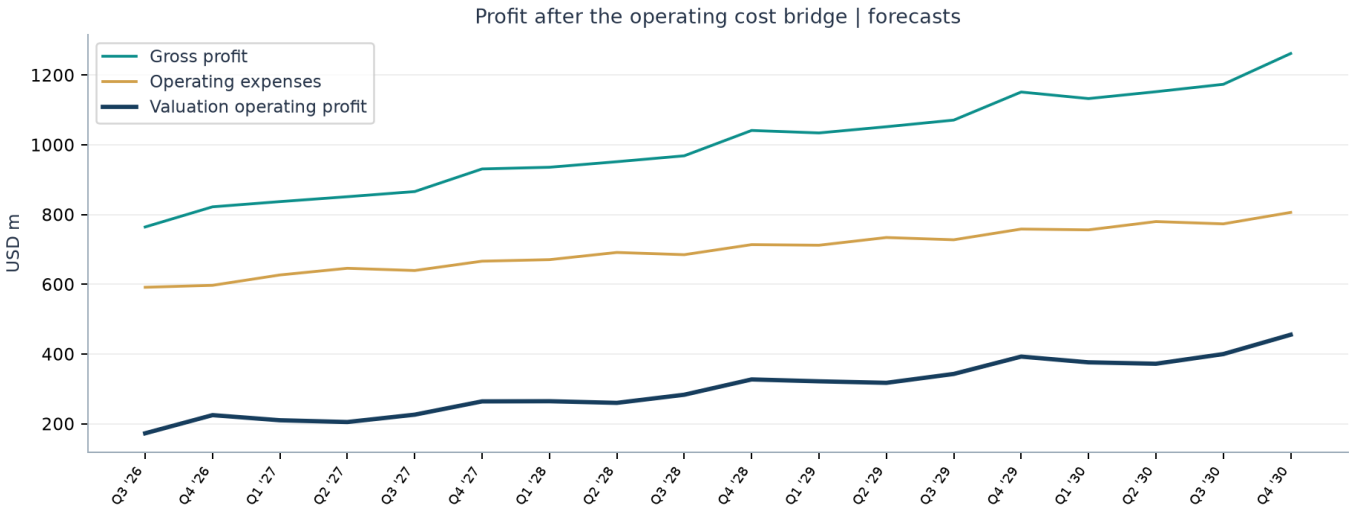
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,061.9	0.0	1,061.9
Q4 2026	1,140.4	0.9	1,141.3
Q1 2027	1,155.6	3.3	1,158.9
Q2 2027	1,173.4	3.3	1,176.8
Q3 2027	1,190.9	3.4	1,194.3
Q4 2027	1,279.2	3.5	1,282.7
Q1 2028	1,284.0	5.3	1,289.3
Q2 2028	1,304.2	5.4	1,309.5
Q3 2028	1,324.4	5.4	1,329.7
Q4 2028	1,422.8	5.6	1,428.4
Q1 2029	1,412.0	7.0	1,419.0
Q2 2029	1,434.6	7.1	1,441.7
Q3 2029	1,457.5	7.1	1,464.6
Q4 2029	1,566.1	7.4	1,573.5
Q1 2030	1,539.2	8.9	1,548.2
Q2 2030	1,564.3	9.0	1,573.3
Q3 2030	1,590.0	9.0	1,599.0
Q4 2030	1,708.7	9.4	1,718.1

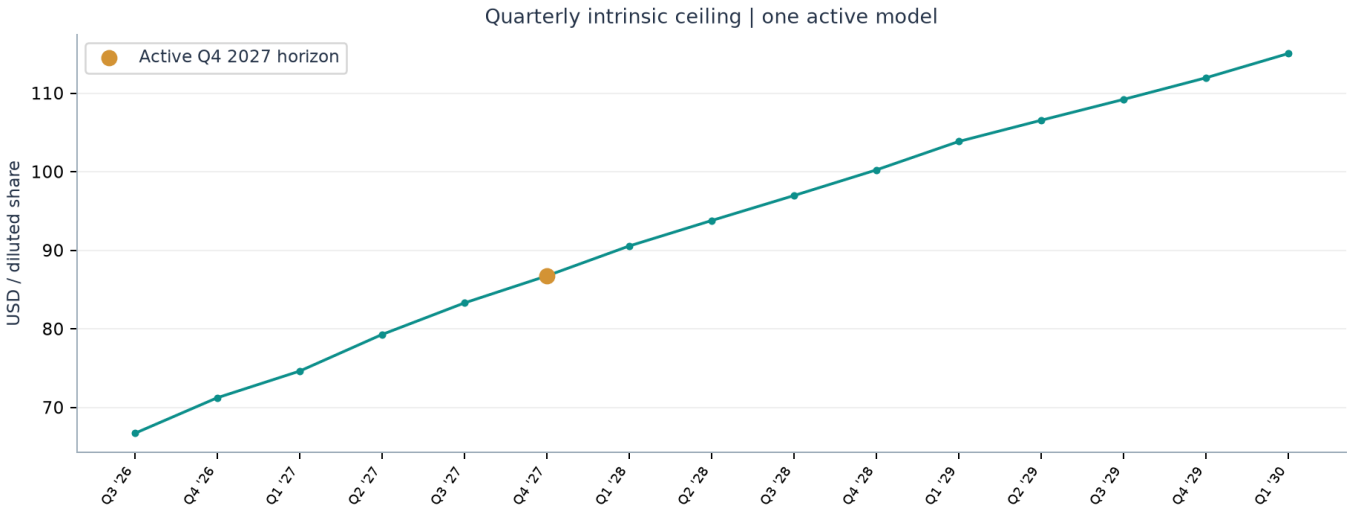
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	1,061.9	764.7	591.7	173.0	16.3%
Q4 2026	1,141.3	822.5	597.4	225.1	19.7%
Q1 2027	1,158.9	837.5	627.1	210.4	18.2%
Q2 2027	1,176.8	851.5	646.2	205.3	17.4%
Q3 2027	1,194.3	866.3	639.8	226.4	19.0%
Q4 2027	1,282.7	931.2	666.6	264.5	20.6%
Q1 2028	1,289.3	936.0	671.0	265.0	20.6%
Q2 2028	1,309.5	951.9	691.7	260.3	19.9%
Q3 2028	1,329.7	968.8	685.2	283.6	21.3%
Q4 2028	1,428.4	1,041.5	714.1	327.5	22.9%
Q1 2029	1,419.0	1,034.4	712.4	322.1	22.7%
Q2 2029	1,441.7	1,052.2	734.5	317.7	22.0%
Q3 2029	1,464.6	1,071.2	728.0	343.2	23.4%
Q4 2029	1,573.5	1,151.7	758.8	393.0	25.0%
Q1 2030	1,548.2	1,133.0	756.5	376.5	24.3%
Q2 2030	1,573.3	1,152.7	780.2	372.5	23.7%
Q3 2030	1,599.0	1,173.9	773.7	400.2	25.0%
Q4 2030	1,718.1	1,262.2	806.5	455.7	26.5%

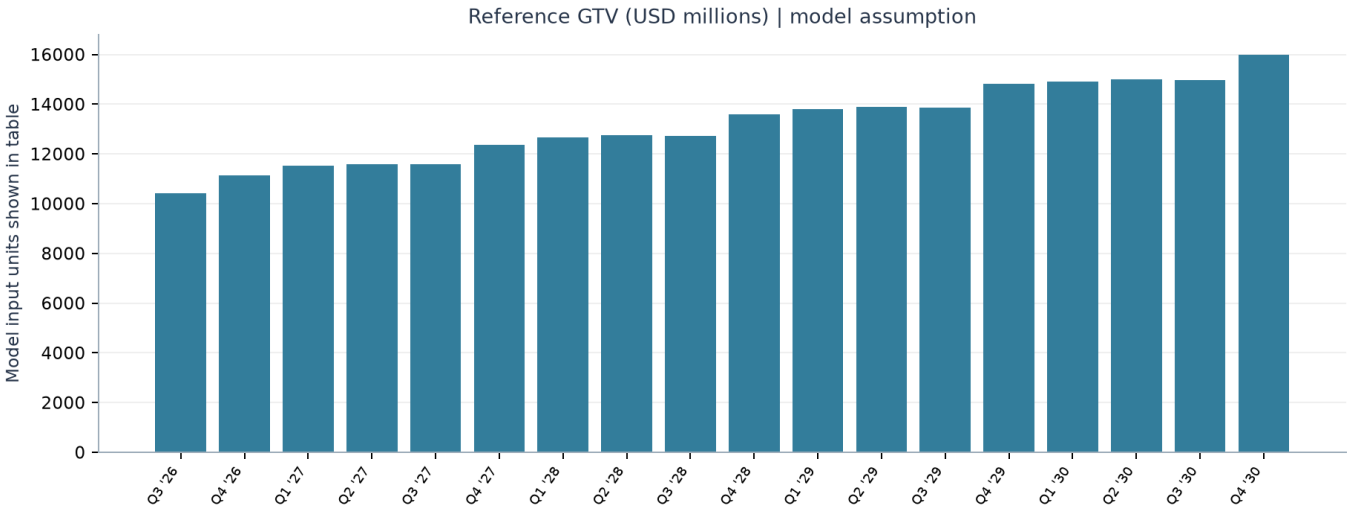
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	813.8	20x	244.007	66.70
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	867.2	20x	243.507	71.23
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	906.7	20x	243.007	74.62
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	961.3	20x	242.507	79.28
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	1,016.3	20x	244.007	83.30
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	1,073.4	20x	247.507	86.74
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	1,136.4	20x	251.007	90.54
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	1,193.4	20x	254.507	93.78
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	1,250.9	20x	258.007	96.97
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	1,310.5	20x	261.507	100.23
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	1,376.0	20x	265.007	103.85
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	1,430.4	20x	268.507	106.55
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	1,485.2	20x	272.007	109.20
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	1,542.2	20x	275.507	111.95
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	1,604.9	20x	279.007	115.05

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference GTV (USD millions)	Status
Q3 2026	10,425.000	ASTRA GAAP operating model
Q4 2026	11,132.760	ASTRA GAAP operating model
Q1 2027	11,522.560	ASTRA GAAP operating model
Q2 2027	11,593.120	ASTRA GAAP operating model
Q3 2027	11,571.750	ASTRA GAAP operating model
Q4 2027	12,357.364	ASTRA GAAP operating model
Q1 2028	12,674.816	ASTRA GAAP operating model
Q2 2028	12,752.432	ASTRA GAAP operating model
Q3 2028	12,728.925	ASTRA GAAP operating model
Q4 2028	13,593.100	ASTRA GAAP operating model
Q1 2029	13,815.549	ASTRA GAAP operating model
Q2 2029	13,900.151	ASTRA GAAP operating model
Q3 2029	13,874.528	ASTRA GAAP operating model
Q4 2029	14,816.479	ASTRA GAAP operating model
Q1 2030	14,920.793	ASTRA GAAP operating model
Q2 2030	15,012.163	ASTRA GAAP operating model
Q3 2030	14,984.491	ASTRA GAAP operating model
Q4 2030	16,001.797	ASTRA GAAP operating model

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Transactions	748.5	67.0%	501.5
Q3 2026	Advertising / other	313.4	84.0%	263.2
Q4 2026	Transactions	799.3	67.0%	535.6
Q4 2026	Advertising / other	341.0	84.0%	286.5
Q1 2027	Transactions	823.9	68.0%	560.2
Q1 2027	Advertising / other	331.8	83.0%	275.4
Q2 2027	Transactions	828.9	68.0%	563.7
Q2 2027	Advertising / other	344.5	83.0%	286.0
Q3 2027	Transactions	827.4	68.0%	562.6
Q3 2027	Advertising / other	363.5	83.0%	301.7
Q4 2027	Transactions	883.6	68.0%	600.8
Q4 2027	Advertising / other	395.6	83.0%	328.4
Q1 2028	Transactions	902.4	68.5%	618.2
Q1 2028	Advertising / other	381.5	82.5%	314.8
Q2 2028	Transactions	908.0	68.5%	622.0
Q2 2028	Advertising / other	396.2	82.5%	326.9
Q3 2028	Transactions	906.3	68.5%	620.8
Q3 2028	Advertising / other	418.1	82.5%	344.9
Q4 2028	Transactions	967.8	68.5%	663.0
Q4 2028	Advertising / other	454.9	82.5%	375.3
Q1 2029	Transactions	980.9	69.0%	676.8
Q1 2029	Advertising / other	431.1	82.0%	353.5
Q2 2029	Transactions	986.9	69.0%	681.0
Q2 2029	Advertising / other	447.7	82.0%	367.1
Q3 2029	Transactions	985.1	69.0%	679.7
Q3 2029	Advertising / other	472.4	82.0%	387.4
Q4 2029	Transactions	1,052.0	69.0%	725.9
Q4 2029	Advertising / other	514.1	82.0%	421.6
Q1 2030	Transactions	1,056.4	69.5%	734.2
Q1 2030	Advertising / other	482.9	81.5%	393.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Transactions	1,062.9	69.5%	738.7
Q2 2030	Advertising / other	501.4	81.5%	408.7
Q3 2030	Transactions	1,060.9	69.5%	737.3
Q3 2030	Advertising / other	529.1	81.5%	431.2
Q4 2030	Transactions	1,132.9	69.5%	787.4
Q4 2030	Advertising / other	575.8	81.5%	469.3

Operating-cost derivation

Quarter	operations support	research development	sales marketing	general admin
Q3 2026	76.0	182.0	236.0	97.7
Q4 2026	77.4	182.5	241.1	96.2
Q1 2027	81.7	190.3	253.3	101.5
Q2 2027	84.2	196.1	261.0	104.6
Q3 2027	83.4	194.1	258.4	103.6
Q4 2027	86.9	202.2	269.2	107.9
Q1 2028	88.2	204.9	271.0	106.3
Q2 2028	90.9	211.2	279.4	109.6
Q3 2028	90.1	209.2	276.8	108.6
Q4 2028	93.8	218.1	288.4	113.2
Q1 2029	95.6	218.2	286.7	111.2
Q2 2029	98.5	225.0	295.6	114.7
Q3 2029	97.7	223.0	293.0	113.7
Q4 2029	101.8	232.4	305.3	118.5
Q1 2030	102.6	233.2	303.2	116.6
Q2 2030	105.8	240.5	312.7	120.3
Q3 2030	104.9	238.5	310.0	119.2
Q4 2030	109.4	248.6	323.2	124.3

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Agent orders	55%	0.0	0.0	0.0	0.0
Q3 2026	Dollar General increment	65%	0.0	0.0	0.0	0.0
Q4 2026	Agent orders	55%	1.1	0.6	0.1	0.3
Q4 2026	Dollar General increment	65%	0.4	0.3	0.1	0.1
Q1 2027	Agent orders	55%	4.0	2.1	0.2	1.1
Q1 2027	Dollar General increment	65%	1.7	1.1	0.3	0.5
Q2 2027	Agent orders	55%	4.0	2.2	0.2	1.1
Q2 2027	Dollar General increment	65%	1.7	1.1	0.3	0.5
Q3 2027	Agent orders	55%	4.0	2.2	0.2	1.1
Q3 2027	Dollar General increment	65%	1.8	1.1	0.4	0.5
Q4 2027	Agent orders	55%	4.3	2.3	0.2	1.2
Q4 2027	Dollar General increment	65%	1.8	1.1	0.4	0.5
Q1 2028	Agent orders	55%	6.3	3.4	0.3	1.7
Q1 2028	Dollar General increment	65%	2.9	1.8	0.6	0.8
Q2 2028	Agent orders	55%	6.3	3.4	0.3	1.7
Q2 2028	Dollar General increment	65%	2.9	1.9	0.6	0.8
Q3 2028	Agent orders	55%	6.3	3.4	0.3	1.7
Q3 2028	Dollar General increment	65%	2.9	1.9	0.6	0.8
Q4 2028	Agent orders	55%	6.8	3.7	0.3	1.9
Q4 2028	Dollar General increment	65%	2.9	1.9	0.6	0.8
Q1 2029	Agent orders	55%	8.2	4.5	0.4	2.3
Q1 2029	Dollar General increment	65%	3.8	2.5	0.8	1.1
Q2 2029	Agent orders	55%	8.3	4.5	0.4	2.3
Q2 2029	Dollar General increment	65%	3.9	2.5	0.8	1.1
Q3 2029	Agent orders	55%	8.3	4.5	0.4	2.3
Q3 2029	Dollar General increment	65%	3.9	2.6	0.8	1.2
Q4 2029	Agent orders	55%	8.9	4.9	0.4	2.4
Q4 2029	Dollar General increment	65%	3.9	2.6	0.8	1.2
Q1 2030	Agent orders	55%	10.3	5.7	0.5	2.9
Q1 2030	Dollar General increment	65%	5.0	3.3	1.0	1.5

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	Agent orders	55%	10.4	5.7	0.5	2.9
Q2 2030	Dollar General increment	65%	5.0	3.3	1.0	1.5
Q3 2030	Agent orders	55%	10.4	5.8	0.5	2.9
Q3 2030	Dollar General increment	65%	5.1	3.3	1.0	1.5
Q4 2030	Agent orders	55%	11.2	6.2	0.5	3.1
Q4 2030	Dollar General increment	65%	5.1	3.3	1.0	1.5

Claim decisions, overlap and triggers

C1

source: S1/S2/S3

type: reported fact

claim: Q2 GTV 10351, orders 90.3, revenue 1043, GP751, GAAP OP143 versus adjusted EBITDA313, all USD millions except shares/orders.

decision: Reference anchored on GAAP; SBC142 and D&A32 stay in costs. Rounded reconciliation differs $1M; no implied exact component split.

C2

source: S1/S5

type: guidance

claim: Q3 GTV 10300-10550; adjusted EBITDA320-340; ads/other revenue growth15-18%.

decision: Midpoints calibrate Q3. GAAP OP173 is own bridge using SBC114, DA34, payroll6, acquisition3; not company GAAP guidance.

C3

source: S3 p6-8;S5

type: issuer operating claims

claim: 10M daily shopper data points, 1.6B lifetime orders, 2B product instances, 16 quarters improved fill; Arpalus reported >95% item identification accuracy.

decision: Core moat evidence; not exclusive supply or booked revenue. p7 chart not to scale; claimed15pp improvement footnote refers Q1 2022-Q1 2025, not all the way to June2026.

C4

source: S8/S9

type: product launch and forward channel

claim: Clementine launched North America Sep9; Muse connector announced Sep22 as upcoming. Existing connectors include ChatGPT/Claude/Gemini/AI Mode.

decision: p55 branch. Distinguish gross routed orders from new orders and migrated ad losses. Combined-agent branch, not separately stacking each named connector. No per-order fee, exclusivity, minimum volumes disclosed.

C5

source: S10

type: announced commercial rollout

claim: DG pilot about7000 stores in6states, plan20000 stores48states in fall2026.

decision: p65 bounded store/order/basket model after50% overlap; store number is plan not guaranteed activated productive locations. No national-GMV-times-store-count shortcut.

C6

source: S11/S12

type: commercial channel news

claim: Gopuff joins marketplace and Carrot Ads; Airbnb expands grocery integration after four-city pilot.

decision: Supporting broad partner/ads growth already in reference; no additional standalone increment to avoid channel/order double count. Gopuff fulfills its own orders; no claim Instacart owns its inventory or receives full item sales.

C7

source: S7/S2

type: completed corporate action

claim: All5,833,333preferred converted one-for-one into common Sep21; no preferred remains.

decision: Add issued common once. Remove preferred from Q2 TSM proxy; no $200M preferred claim or accretion after conversion.

C8

source: S2/S5

type: treasury fact and limitation

claim: June885unrestrictedcash/securities plus117restricted; $998M buyback authorization. Q2 FCF480 boosted by AR collection.

decision: Finite810postJulybuyback assumption plus150Julyreserve=960<998. Do not annualize Q2 FCF. Long-range future authorizations not assumed; diluted shares rise thereafter.

C9

source: S6

type: structural risk

claim: Top3retailers43%FY2025GTV; ads contracts usually<1year; competition and gigworker rules affect economics.

decision: No physical-scarcity scoring premium; competition/retailer concentration/regulation/unknown agent economics deductions.

Remaining bounded uncertainties

- Agent referral/revenue-share terms, conversion, retention, cannibalization and ad retention are not disclosed; numerical branch explicitly low-confidence proxy.

- Transaction vs advertising/other gross profit is not disclosed; two-vector GM is calibrated assumption, not reported segment profit.

- July-to-October actual common shares after intervening awards/buybacks are not disclosed here; July31 issued + known conversion is factual anchor, subsequent path assumed.

- Remaining buyback authorization after July not disclosed; $150M reserve is own budget guard. New future authorizations would alter shares and treasury.

- Q3 SBC/D&A/other GAAP reconciliation uncertain; guide is adjusted EBITDA.

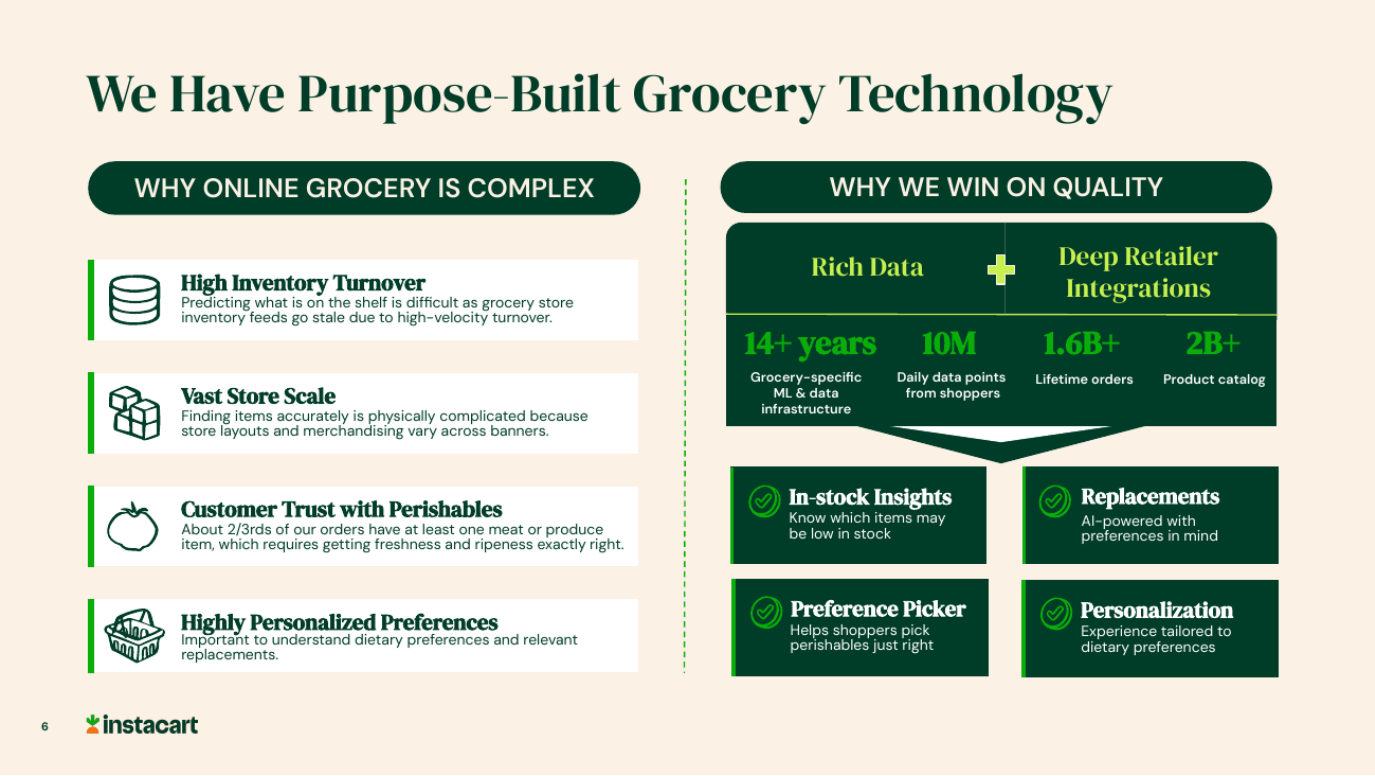
- DG store activation, order/day and basket not disclosed; actual low-basket economics could differ materially.

- International enterprise, Caper, FoodStorm, Arpalus and Health revenue are not broken out; no independent additive TAM modeled.

Selected original evidence

Source exhibit 1

Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 06



Issuer Q2 2026 supplemental financial exhibit; original page 06 Original units and footnotes apply.

Source exhibit 2

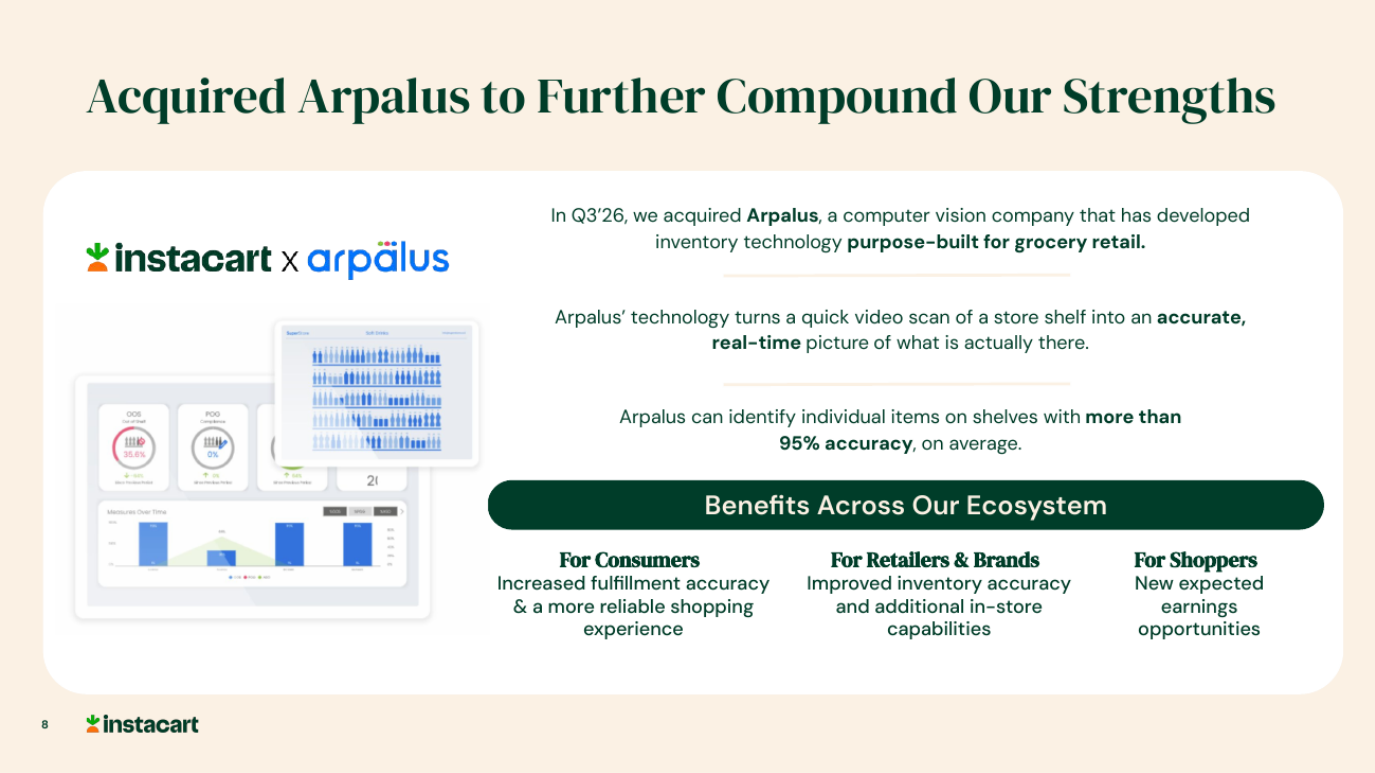
Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 07



Issuer Q2 2026 supplemental financial exhibit; original page 07 Original units and footnotes apply.

Source exhibit 3

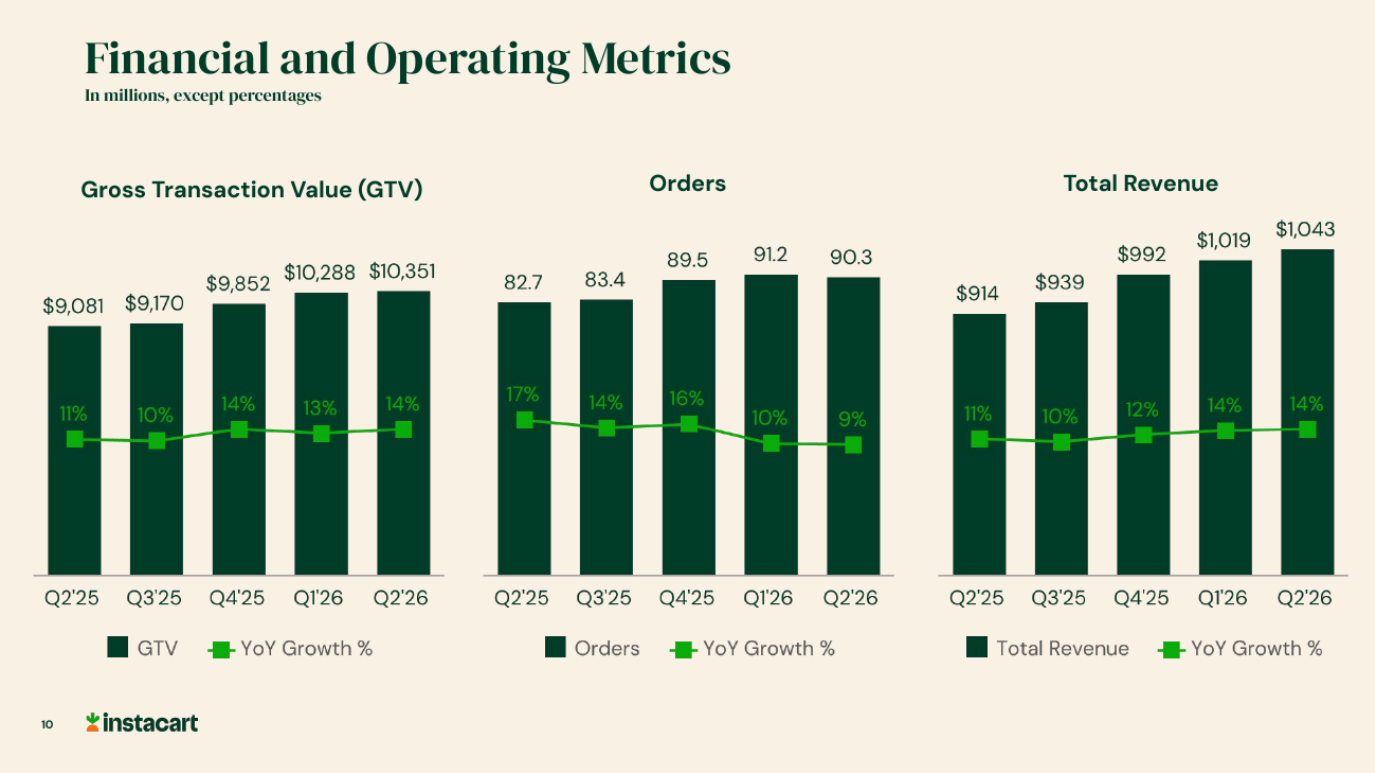
Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 08



Issuer Q2 2026 supplemental financial exhibit; original page 08 Original units and footnotes apply.

Source exhibit 4

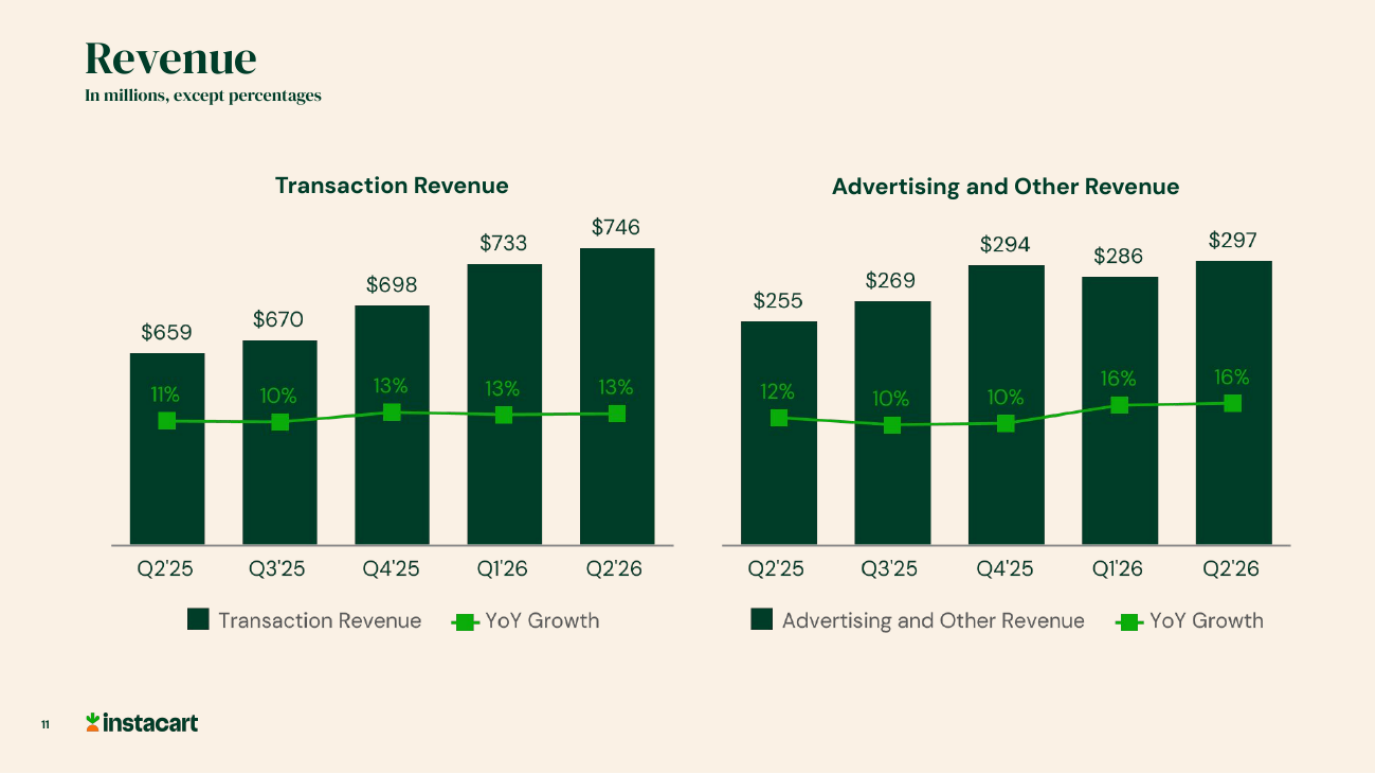
Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 10



Issuer Q2 2026 supplemental financial exhibit; original page 10 Original units and footnotes apply.

Source exhibit 5

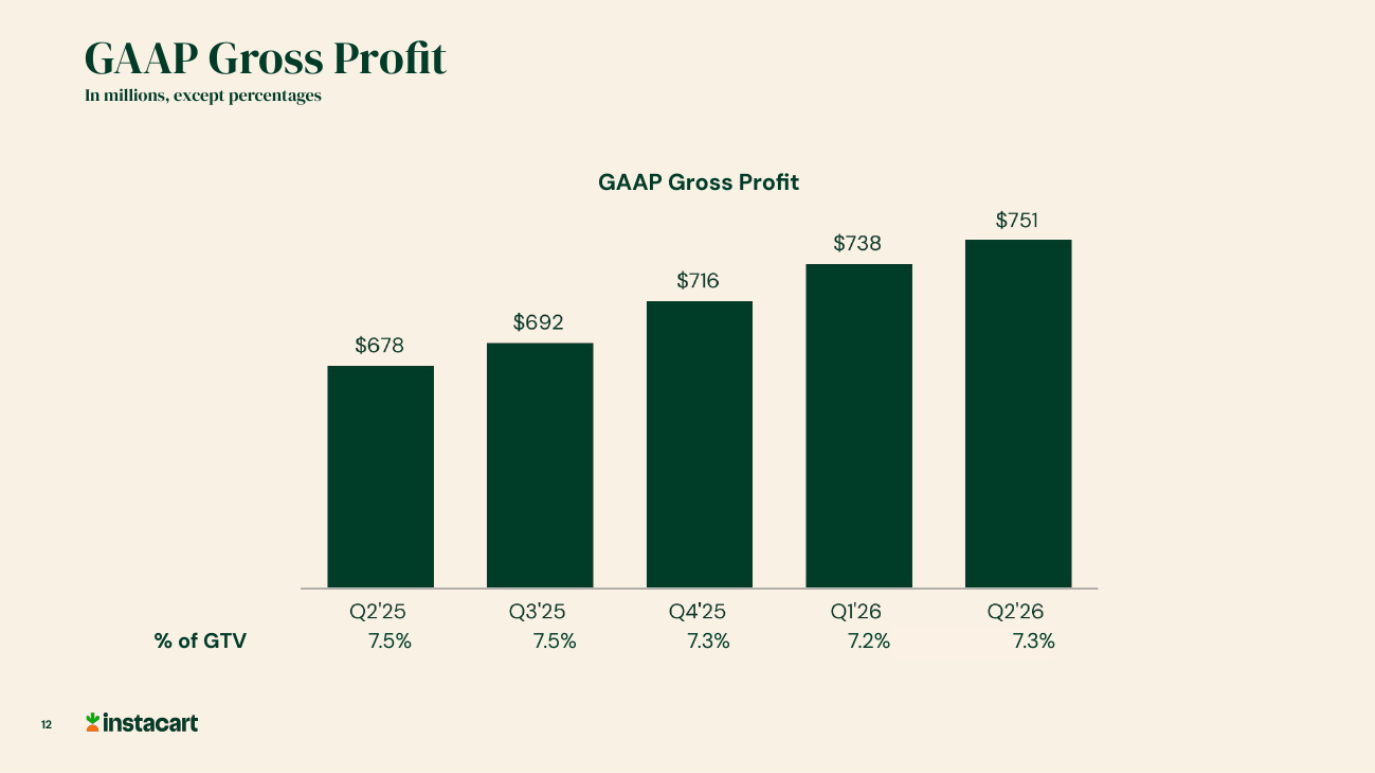
Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 11



Issuer Q2 2026 supplemental financial exhibit; original page 11 Original units and footnotes apply.

Source exhibit 6

Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 12



Issuer Q2 2026 supplemental financial exhibit; original page 12 Original units and footnotes apply.

Source exhibit 7

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Reconciliation of GAAP to Non-GAAP Results

In millions

	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26
Net income	$ 116	$ 144	$ 81	$ 144	$ 111
Provision for income taxes	26	37	28	44	36
Interest income	(15)	(16)	(12)	(6)	(5)
Other expense (income), net	(3)	1	—	—	1
Depreciation and amortization expense	21	25	26	30	32
Stock-based compensation expense	105	82	99	80	142
Payroll taxes related to stock-based compensation[1]	5	4	3	7	6
Certain legal and regulatory accruals and settlements, net[2]	6	2	78	1	(13)
Reserves for sales and other indirect taxes, net[3]	—	(1)	(1)	—	1
Acquisition-related expenses	—	—	1	1	3
Adjusted EBITDA	$ 262	$ 278	$ 303	$ 300	$ 313

[1] Represents employer payroll taxes related to the vesting and settlement of certain equity awards.
[2] Represents certain legal, regulatory, and policy expenses, including those related to worker classification, as well as non-recurring intellectual property matters and regulatory settlements.
[3] Represents sales and other indirect tax reserves, net of abatements, for periods in which we were unable to collect such taxes from customers. We believe this adjustment is useful for investors in understanding our underlying operating performance because in these cases, the taxes were not intended to be a cost to us but rather are to be borne by the customers.
Note: Due to rounding, numbers presented may not sum precisely to the totals presented.

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Issuer Q2 2026 supplemental financial exhibit; original page 17 Original units and footnotes apply.

Source exhibit 8

Issuer source retained in the evidence manifest | Issuer Q2 2026 supplemental financial exhibit; original page 18

Reconciliation of GAAP to Non-GAAP Results (continued)

In millions, except percentages

	Q2'25	Q3'25	Q4'25	Q1'26	Q2'26
Total operating expenses	$ 554	$ 525	$ 619	$ 556	$ 608
Depreciation and amortization expense	(6)	(6)	(6)	(6)	(6)
Stock-based compensation expense	(103)	(79)	(96)	(78)	(139)
Payroll taxes related to stock-based compensation[1]	(5)	(3)	(3)	(6)	(6)
Certain legal and regulatory accruals and settlements, net[2]	(6)	(2)	(78)	(1)	13
Reserves for sales and other indirect taxes, net[3]	—	1	1	—	(1)
Acquisition-related expenses	—	—	(1)	(1)	(3)
Adjusted total operating expenses	$ 434	$ 436	$ 436	$ 463	$ 468
Total operating expenses as a percent of GTV	6.1%	5.7%	6.3%	5.4%	5.9%
Adjusted total operating expenses as a percent of GTV	4.8%	4.8%	4.4%	4.5%	4.5%

[1] Represents employer payroll taxes related to the vesting and settlement of certain equity awards.
[2] Represents certain legal, regulatory, and policy expenses, including those related to worker classification, as well as non-recurring intellectual property matters and regulatory settlements.
[3] Represents sales and other indirect tax reserves, net of abatements, for periods in which we were unable to collect such taxes from customers. We believe this adjustment is useful for investors in understanding our underlying operating performance because in these cases, the taxes were not intended to be a cost to us but rather are to be borne by the customers.
Note: Due to rounding, numbers presented may not sum precisely to the totals presented.

18 instacart

Issuer Q2 2026 supplemental financial exhibit; original page 18 Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Primary source | 2026-08-06

https://investors.instacart.com/News/news-releases/news-details/2026/Instacart-Announces-Second-Quarter-2026-Financial-Results-08-06-2026/default.aspx

Archived source SHA-256: 569ed12019cf06a13155a25eddc40d46d1cefba2e11a86fe76a769a1f1e9dc49

[2] Primary source | 2026-08-07

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[3] Primary source | 2026-08-06

https://s25.q4cdn.com/251036341/files/doc_financials/2026/q2/Q2-2026-Earnings-Supplemental-Information.pdf

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[4] Primary source | 2026-05-06

https://stockanalysis.com/stocks/cart/transcripts/556161-q1-2026/

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[5] Primary source | 2026-08-06

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[6] Primary source | 2026-02-26

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[7] Primary source | 2026-09-25

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[8] Primary source | 2026-09-22

https://company.instacart.com/updates/instacart-to-bring-personalized-grocery-shopping-to-muse-from-meta

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[9] Primary source | 2026-09-09

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[10] Primary source | 2026-09-23

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[11] Primary source | 2026-09-22

https://company.instacart.com/pressreleases/instacart-and-gopuff-announce-new-first-of-its-kind-partnership-in-the-u-s-

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[12] Primary source | 2026-09-22

https://company.instacart.com/updates/groceries-powered-by-instacart-is-coming-to-the-us-and-canada-on-airbnb

Archived source SHA-256: 21bdcb197806be44dcef0d8a5b9a06d7e0774a5ed87e99fce9350dab20c3d5be

Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.